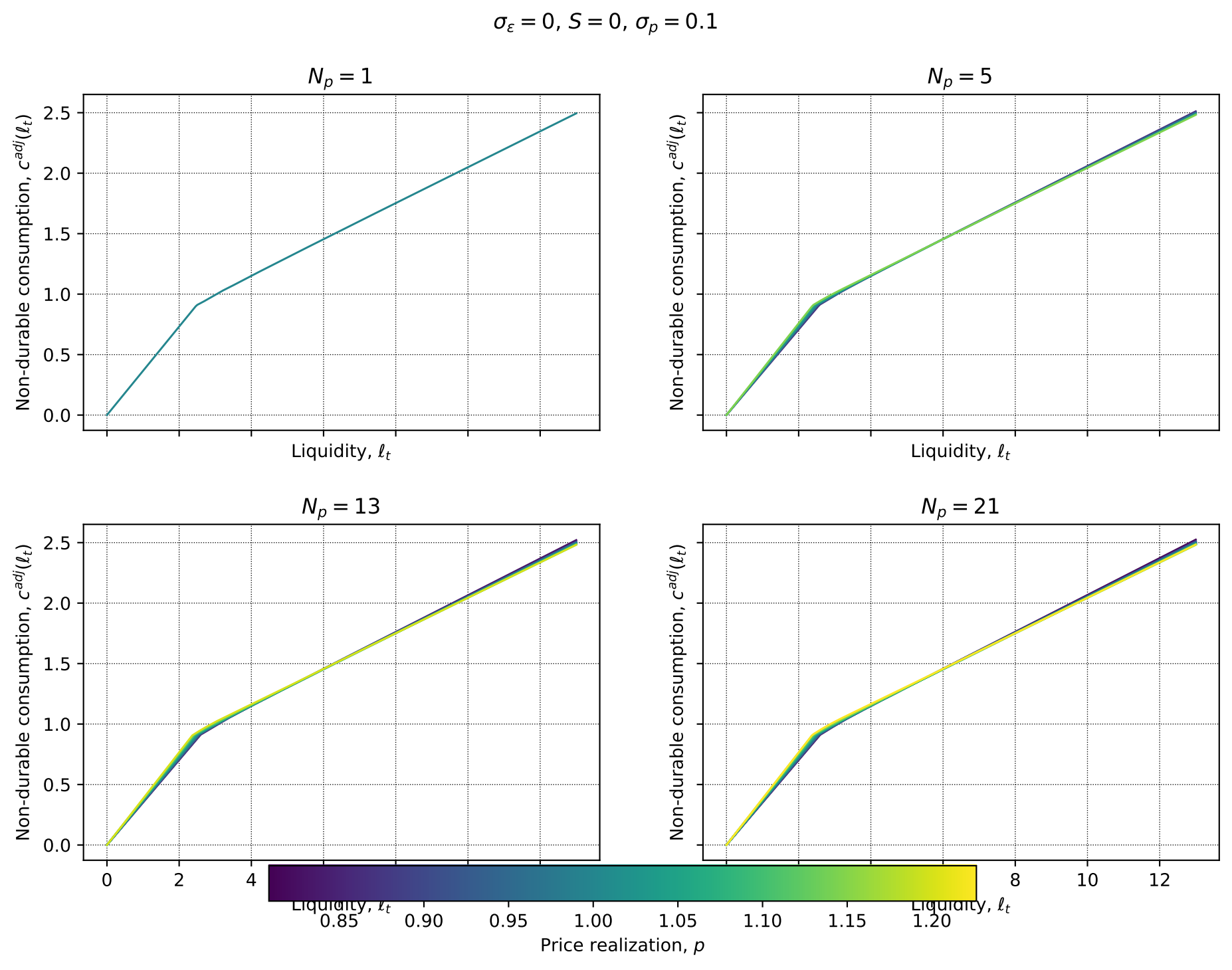
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
2.5
0
2
4
8
10
12
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
Price realization, p